

Brightwater Capital Partners, LLC

Valuation Policy | Vyntic token: valuation_policy

1. Purpose and Scope

This policy establishes procedures for valuing portfolio investments held by Brightwater-sponsored private funds, including Level 3 privately held investments for which observable market prices are not available.

The policy is intended to promote consistency and auditability while recognizing that private-company valuations require judgment.

Purpose and Scope procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing purpose and scope provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

2. Governance

The valuation committee meets quarterly and includes finance, investment, compliance and portfolio operations representatives. The committee reviews valuation memoranda, company performance, market data, financing terms, exit assumptions and material events.

The policy is intended to promote consistency and auditability while recognizing that private-company valuations require judgment.

Governance procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing governance provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

3. Methodologies

Valuations may use comparable company multiples, precedent transactions, discounted cash flow analyses, recent financing transactions, cost, indications of interest and other methods deemed appropriate in light of facts and circumstances.

The policy is intended to promote consistency and auditability while recognizing that private-company valuations require judgment.

Methodologies procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing methodologies provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

4. Level 3 Review

Level 3 portfolio company marks are prepared by the investment team and reviewed by finance and the valuation committee each quarter. Third-party valuation review is obtained annually for active Level 3 assets and may also be obtained for material events or advisory committee requests.

The policy is intended to promote consistency and auditability while recognizing that private-company valuations require judgment.

Level 3 Review procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing level 3 review provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

5. Documentation

Each quarterly valuation file shall include management reporting, debt schedules, working-capital trends, market multiples, calibration to transaction price, selected multiple support and committee approvals.

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Documentation procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing documentation provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

6. Conflicts and Escalation

Disagreements are escalated to the chief financial officer and chief compliance officer. Material methodology changes, conflicts or valuation exceptions may be reported to the Limited Partner Advisory Committee.

The policy is intended to promote consistency and auditability while recognizing that private-company valuations require judgment.

Conflicts and Escalation procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing conflicts and escalation provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.